

**Time:** 5 minutes**Outcome:** Trace Changes in Surplus & Policy Effects.**Difficulty:** ●●○ Intermediate

Changes in Surplus & Policy Effects



THE CORE IDEA

A price or policy change can transfer surplus between buyers and sellers and can destroy surplus by preventing mutually beneficial trades. A transfer changes who receives existing gains without changing their total. Deadweight loss is different: it represents gains from exchange that disappear because quantity moves away from the efficient level.



HOW TO RECOGNIZE IT

- Establish the initial consumer surplus, producer surplus, and total surplus before the change.
- Recalculate those areas after the price change or policy intervention.
- Separate transfers between buyers and sellers from surplus that disappears entirely.
- Deadweight loss represents mutually beneficial trades prevented by the change.

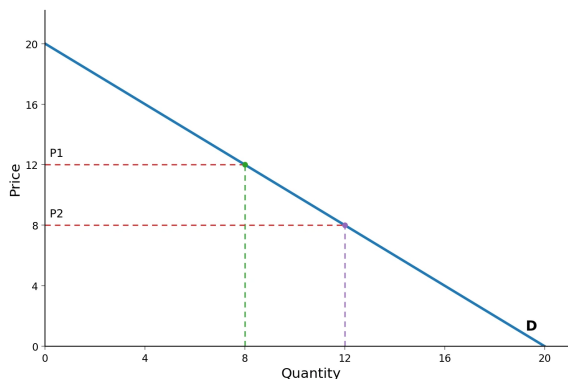


WATCH OUT

A common mistake is to count only existing buyers or only new buyers. With the same trades still occurring, the price change transfers surplus dollar for dollar from sellers to buyers; it does not change total surplus.



WORKED EXAMPLE: TRANSFER OR DEADWEIGHT LOSS?



At price $P_1 = \$12$, quantity is 8 and consumer surplus is $\frac{1}{2} \times 8 \times (\$20 - \$12) = \32 . At $P_2 = \$8$, quantity rises to 12 and consumer surplus becomes $\frac{1}{2} \times 12 \times (\$20 - \$8) = \72 . The price decrease raises consumer surplus by \$40.



CHECK YOURSELF

A policy transfers \$20 to consumers and prevents \$6 of gains. Total-surplus loss?

**READY?**

Return to the game and master this concept.